

buying enthusiasm. However, he knew that breakout day gaps resulted in performance that was not as good as those diamonds without gaps. That made him nervous.

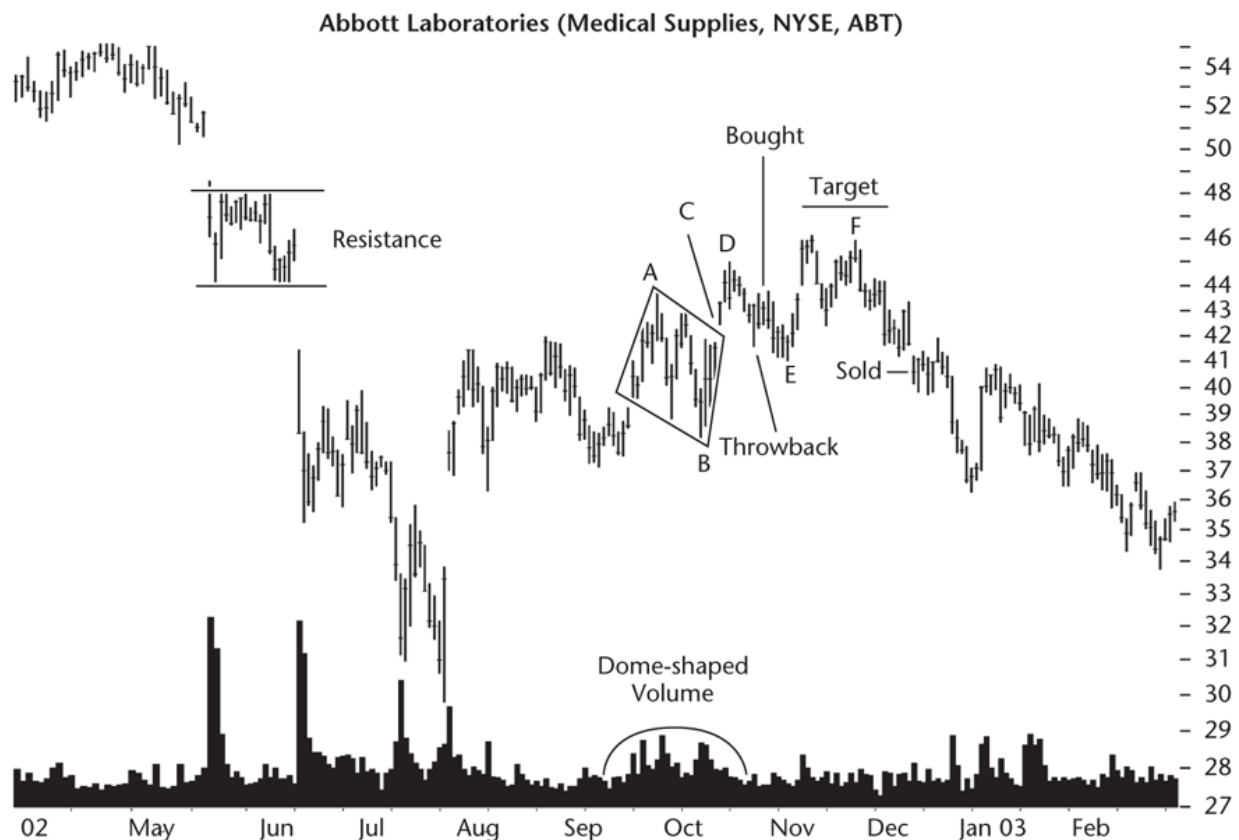


Figure 24.7 Shown is a diamond top with dome-shaped volume. To get a price target, compute the formation height ($A - B$) and add it to C , the breakout price. The result is the target price for upward breakouts.

Since the breakout was upward, he checked for overhead resistance and saw the long island pattern in May. Price tested the region at point D , leading to the throwback. Still, he knew that price would eventually pierce that resistance, perhaps after multiple attempts to break through.

He computed the predicted price target using the diamond height projected upward from the breakout price. “The target was at the high end of the resistance area,” he said. “I hoped price would reverse there.” That meant watching the stock closely and selling when it neared the target to maximize profit. On the downside, if price dropped, he would close out his position just below the diamond bottom (point B).